

KEY TERMINOLOGY

ECONOMY



MODULE - 5

- Goods & Services
- Sectors of the Economy
- Trade, Exports & Imports
- Investments

- Shares
- Inflation
- FPI & FDI
- MNCs & Globalisation

KEY TERMINOLOGY IN ECONOMY

GOODS



Mobile



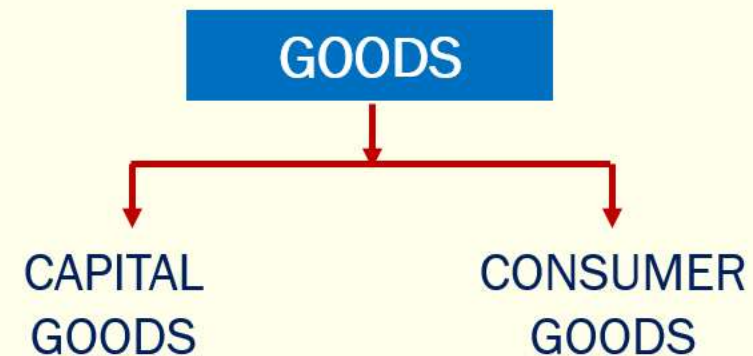
Laptop



Table

GOODS

- Items for sale
- Possessions that can be moved



KEY TERMINOLOGY IN ECONOMY

CAPITAL GOODS



Machinery in Textile Sector



Machinery in manufacturing sector

CAPITAL GOODS

- Used for producing other goods for end use
- Not for meeting immediate needs of the consumer
- It may be machine / equipment
- Their cost is normally very high

KEY TERMINOLOGY IN ECONOMY

CONSUMER GOODS



Soap



Laptop



Mobile

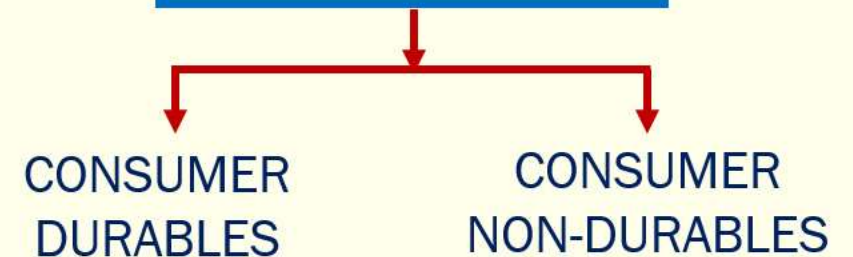


Table

CONSUMER GOODS

- To satisfy human wants directly
- Goods, which meet the immediate need of the consumer
- Meant for consumption/use by the users

CONSUMER GOODS



KEY TERMINOLOGY IN ECONOMY

CONSUMER GOODS

CONSUMER DURABLES



Car



Washing Machine



Air Conditioner

CONSUMER DURABLES

- They do not have to be purchased quite frequently (typically at least 3 years)
- They last over a substantial period of time
- They do not wear out easily
- Can be rented
- Comes under the investment demand of goods

CONSUMER GOODS

CONSUMER
DURABLES

CONSUMER
NON-DURABLES

KEY TERMINOLOGY IN ECONOMY

CONSUMER GOODS

CONSUMER NON - DURABLES



Cigarettes



Petrol



Stationery



Toothpaste

CONSUMER NON-DURABLES

- Also known as “soft goods”
- Life span of less than 3 years
- Immediately consumed
- Cannot be rented
- Comes under the consumption demand of goods

CONSUMER GOODS

CONSUMER
DURABLES

CONSUMER
NON-DURABLES

KEY TERMINOLOGY IN ECONOMY

CONSUMER GOODS

CONSUMER NON - DURABLES

↓
FMCG



Milk



Fruits



Toothpaste



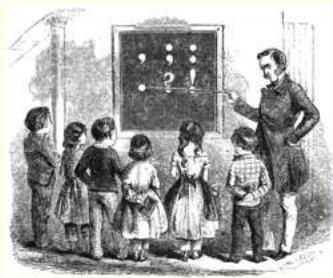
Coca-Cola

FMCG

- Fast Moving Consumer Goods
- High volumes/ low margins
- Normally low price
- Frequent purchases
- Some of them are essential for regular consumption
- Shorter period of life
- Sold quickly

KEY TERMINOLOGY IN ECONOMY

SERVICES



Teaching



Doctor



Barber

SERVICES

- Intangibles (lacks physical substance)
- Immaterial exchange of value
- Each service is normally unique
- Also called invisibles
- Participation of customer in the service delivery process

KEY TERMINOLOGY IN ECONOMY

GOODS Vs SERVICES

GOODS



SERVICES





KEY TERMINOLOGY IN ECONOMY

SECTORS OF THE ECONOMY

- Agriculture
- Mining
- Quarrying
- Forestry
- Fishing

PRIMARY

- Industry
- Construction

SECONDARY

- Teachers
- Doctors
- Lawyers
- Communication
- IT
- BPO

TERTIARY

KEY TERMINOLOGY IN ECONOMY

PRIMARY SECTOR



KEY TERMINOLOGY IN ECONOMY

SECONDARY SECTOR



KEY TERMINOLOGY IN ECONOMY

TERTIARY SECTOR



KEY TERMINOLOGY IN ECONOMY

TRADE



TRADE

- It is transfer of goods and /or services
- From one person or entity to another
- Often for exchange of money

COMMERCE

Activity of buying and selling of goods and services on a large scale

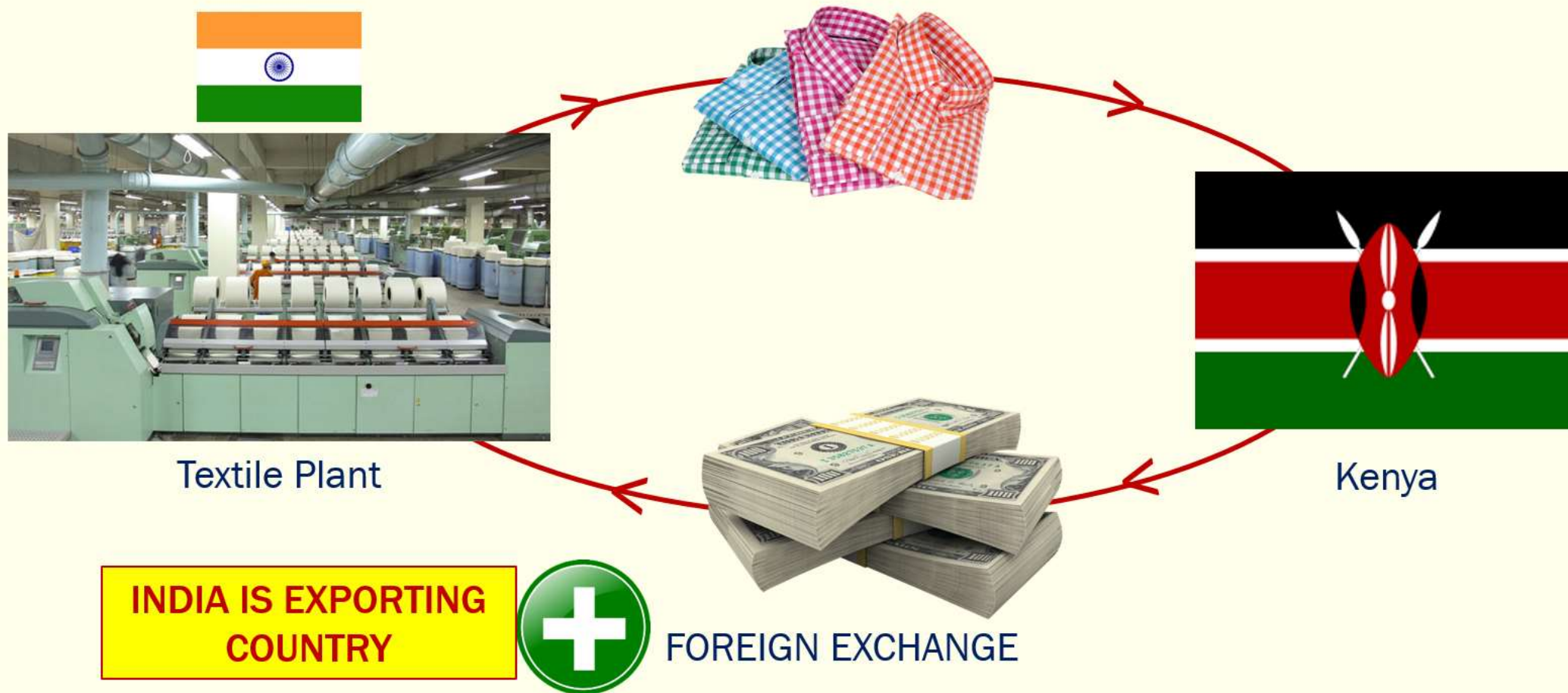
MARKET

Network that allows trade is called “Market”

KEY TERMINOLOGY IN ECONOMY

INTERNATIONAL TRADE

EXPORTS ... GOODS



KEY TERMINOLOGY IN ECONOMY

INTERNATIONAL TRADE

EXPORTS ... SERVICES

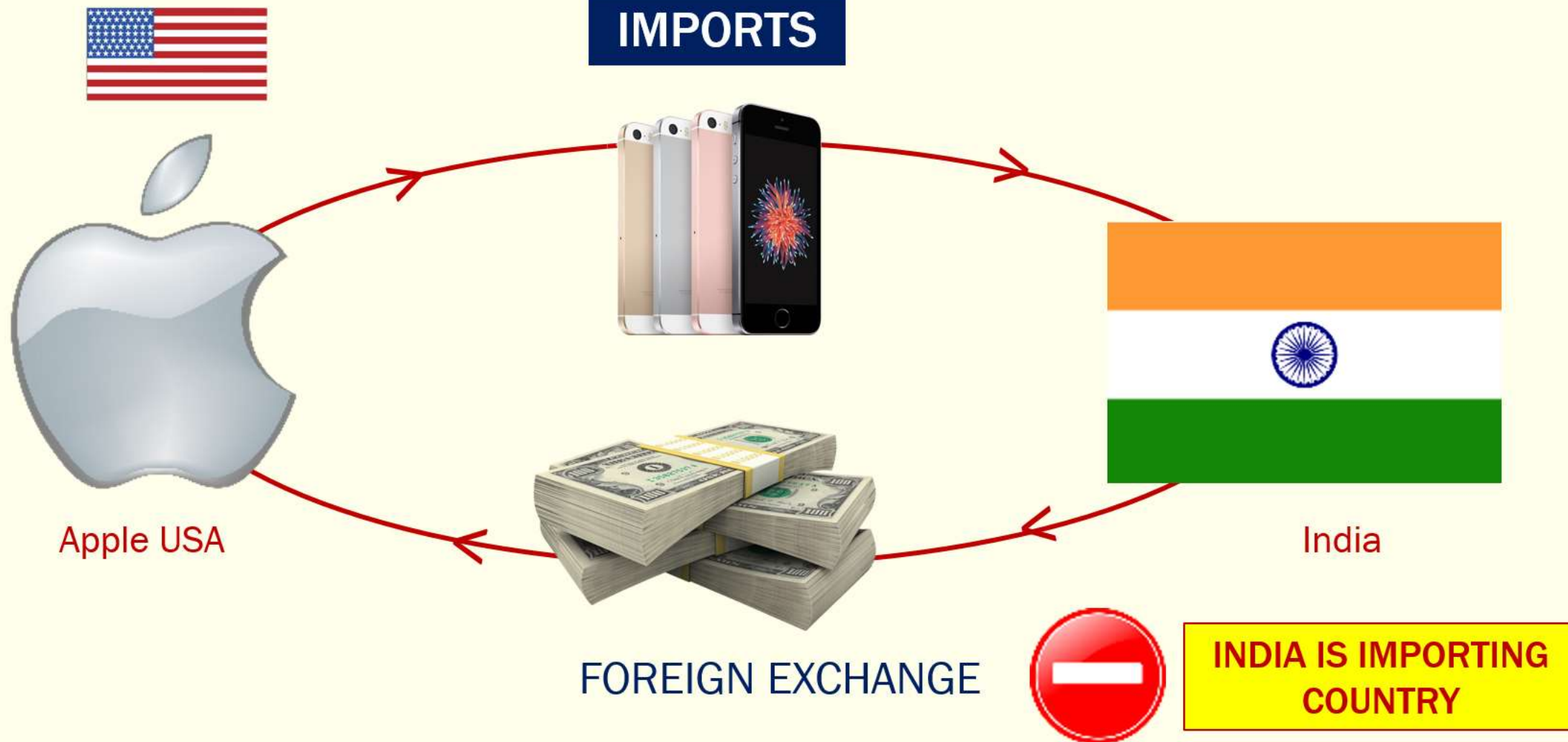




KEY TERMINOLOGY IN ECONOMY

INTERNATIONAL TRADE

IMPORTS





KEY TERMINOLOGY IN ECONOMY

INTERNATIONAL TRADE

IMPORTS

Software for IoT,
Cloud, Analytics



USA



India



FOREIGN EXCHANGE



**INDIA IS IMPORTING
COUNTRY**

KEY TERMINOLOGY IN ECONOMY

INVESTMENTS

INVESTMENT

- Asset that is purchased
- Expectation is that it will generate income or appreciate over a period of time

Examples ...

- **Real estate**
- **Stocks**
- **Bonds**
- **Mutual funds**

KEY TERMINOLOGY IN ECONOMY

INVESTMENTS

REAL ESTATE

Examples ...

- Real estate
- Stocks
- Bonds
- Mutual funds

Purchased at Rs.
50 lakh in 2014

A



Given on rent

After 3 years

Rs. 10,000 a
month

Rs. 80 lakh

Income

Appreciation

CAPITAL GAINS TAX

If A sells property, he has to pay Capital Gains Tax



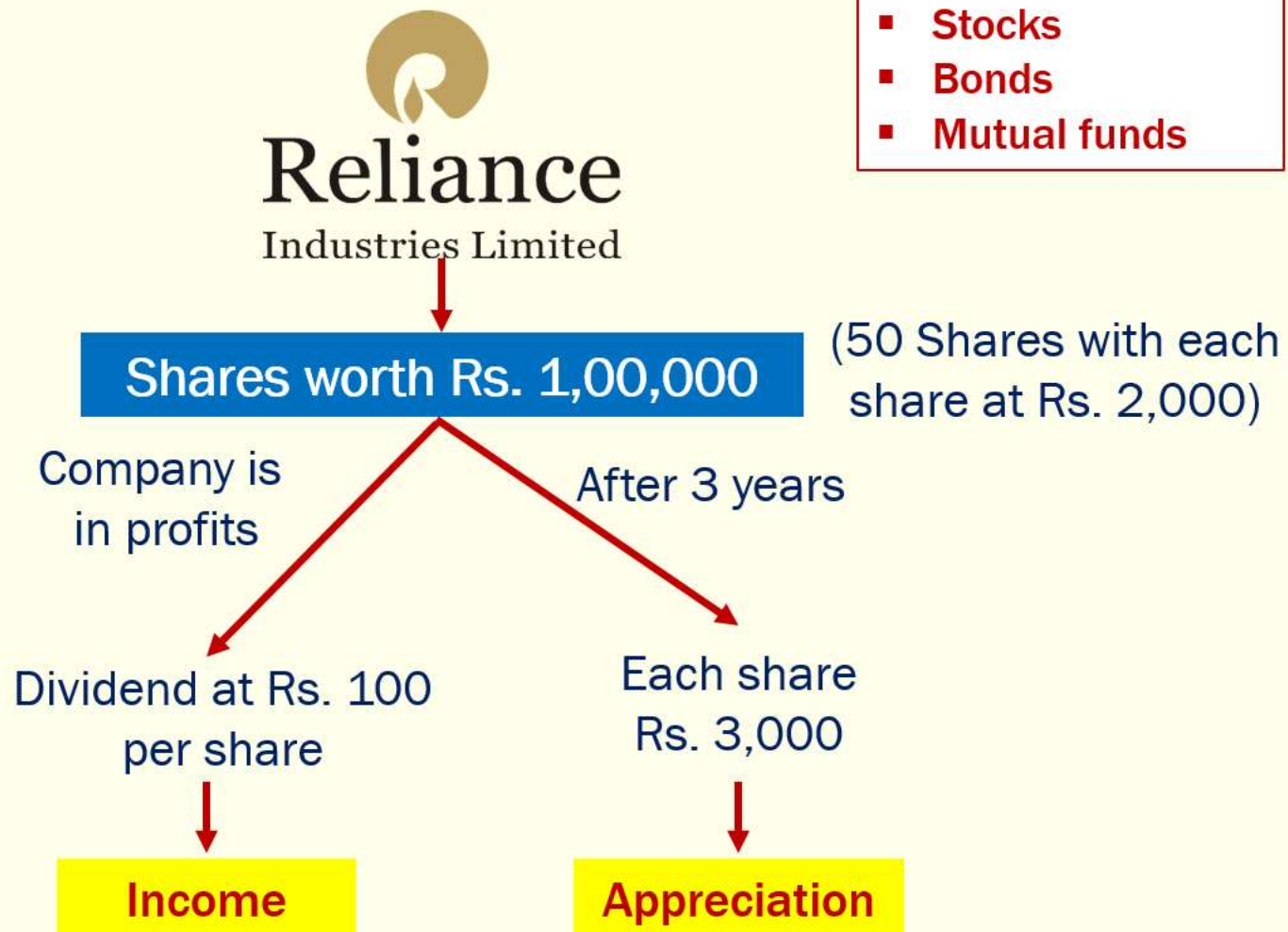
KEY TERMINOLOGY IN ECONOMY

SHARES

INVESTMENTS

Examples ...

- Real estate
- Stocks
- Bonds
- Mutual funds



KEY TERMINOLOGY IN ECONOMY

BONDS

INVESTMENTS

Examples ...

- Real estate
- Stocks
- Bonds
- Mutual funds



Bonds worth Rs. 1,00,000

Profit / loss does
not matter

Interest at agreed
coupon rate

Income